

IN THE HONORABLE SUPREME COURT OF THE REPUBLIC OF LIBERIA
SITTING IN ITS OCTOBER TERM, A.D. 2021

BEFORE HIS HONOR: FRANCIS S. KORKPOR, SR.....CHIEF JUSTICE
BEFORE HER HONOR: JAMESETTA H. WOLOKOLIE.....ASSOCIATE JUSTICE
BEFORE HER HONOR: SIE-A-NYENE G. YUOH.....ASSOCIATE JUSTICE
BEFORE HIS HONOR: JOSEPH N. NAGBEASSOCIATE JUSTICE
BEFORE HIS HONOR: YUSSIF D. KABA.....ASSOCIATE JUSTICE

Selma Agriculture Development Corporation by its Chief)
Executive Officer, Mr. John G. Selma of the City of)
Voinjama, Lofa County, Republic of)
Liberia.....Appellant)

Versus)

Appeal)

Cultivating New Frontier in Agriculture/Liberia Agribusiness)
Authority (CFNA/LADA) by and thru its Chief of Party,)
Willem Van Campen or his Successor, and all managers and)
Officer of the CFNA/LADA of the City of Voinjama, Lofa)
County, Republic of Liberia Appellee)

GROWING OUT OF THE CASE:)

Cultivating New Frontier in Agriculture/Liberia Agribusiness)
Authority (CFNA/LADA) by and thru its Chief of Party,)
Willem Van Campen or his Successor, and all Managers and)
Officer of the CFNA/LADA of the City of Voinjama, Lofa)
County, Republic of Liberia Petitioner)

Versus)

Petition for the)
Writ of Certiorari)

Her Honor Judge Nancy Finda Sammy, Resident Circuit)
Judge Tenth Judicial Circuit Court, Lofa County, Republic of)
Liberia1ST Respodent)

AND)

Selma Agriculture Development Corporation by its Chief)
Executive Officer, Mr. John G. Selma, of the City of)
Voinjama, Lofa County, Liberia2ND Respondent)

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Cultivating New Frontier in Agriculture/Liberia Agribusiness)
Authority (CFNA/LADA) by and thru its Chief of Party,)
WillemVan Campen or his Successor, and all Managers and)
Officer of the CFNA/LADA of the City of Voinjama, Lofa)
County, Republic of Liberia Petitioner)

Versus)

) Motion to Dismiss for
) Want of Jurisdiction)

Selma Agriculture Development Corporation by its Chief)
Executive Officer, Mr. John G. Selma, of the City of)
Voinjama, Lofa County, Liberia2ND Respondent)

HEARD: November 11, 2021

DECIDED: February 1, 2022

MADAME JUSTICE WOLOKOLIE DELIVERED THE OPINION OF THIS COURT

This is an appeal from a ruling of the Justice in Chambers, Her Honor Sie-A-Nyene Youh, from a petition for certiorari filed before her by the appellee, Cultivating New Frontiers in Agriculture/Liberia Agribusiness Authority (CNFA/LADA).

The petition derives from a complaint filed by the appellant, Selma Agriculture Development Corporation, before the Tenth Judicial Circuit Court, Lofa County on October 8, 2020. The appellant stated in its complaint that it is an agricultural corporation located in the City of Voinjama, Lofa County; that it principally buys rice from local farmers which it mills and bags for sale to the public; that in 2016, it was contacted by the United States Agency for International Development (USAID) which had a program under which matching funds were provided to Liberian businesses engaged in agriculture in Liberia; that under this arrangement, the Liberian businesses would provide most of the funding for an agreed proposed project and USAID would provide some support funding as grant; that the appellee herein, CNFA/LADA, was engaged by USAID to administer the grant funding and serve as the procurement entity for projects under the fund.

The appellant further stated that it applied for a grant funding under the Liberian Agribusiness Development Activity Cooperative Agreement administered by the appellee, CNFA/LADA, and same was duly approved for funding to construct a Rice Processing Mill in Voinjama, Lofa County. On October 18, 2016, appellant and appellee as well as USAID entered into a grant agreement under the Liberia Agribusiness Development Activity Cooperation Agreement AID-669-A-16-00005 for the purpose of increasing the appellant's daily rice processing capacity by an additional 8 metric tons and in order to improve the quality of the processed rice and capitalize on the import substitution opportunities in Liberia's rice sector. The appellant alleged that on August 25, 2017, the agreement aforementioned went through its first modification that revised the list of equipment to be purchased with the grant funds, and on January 18, 2018, a second modification was made to the original agreement in order to increase the contribution of the appellant from the original agreed sum of One Hundred Thousand United States Dollars (\$100,000.00USD) to a new obligation of Two Hundred Seventy-One Thousand United States Dollars (US\$271,000.00) to reflect the actual cost of the rice processing mill machine based on the updated pro forma invoice from

the vendor. The appellant therefore had to pay the appellee the sum of Two Hundred Seventy-One Thousand United States Dollars (US\$271,000.00), same being the full purchase price for a rice processing mill machine, in addition to Forty-two Thousand United States Dollars (US\$42,000.00) for construction of the processing facility, plus Seven Thousand Five Hundred United States Dollars (US\$7,500.00) for increased travel cost in keeping with the second modification to the original agreement.

The appellant contended that in order to provide the funds as agreed in the second modification to the original contract, it applied to Afriland First Bank for a loan facility of Four Hundred Thousand United States Dollars (US\$400,000.00) which was granted by the bank on August 15, 2017. Thereafter, the appellant authorized the Afriland Bank to remit the amount of Two Hundred Seventy Thousand Eight Hundred Thirty-Two United States Dollars (US\$270,832.00) directly to the appellee for the purchase of the rice processing mill and its installation at the facility in Voinjama City. The appellee committed in writing to procure the rice processing mill and have it installed and functioning within six (6) months of the payment date of April 6, 2018, in order for the appellant to begin rice production and obtain funds to repay the bank and meet other business related obligations. The remaining funds from the Afriland First Bank loan facility, the appellant stated, was used to build the processing plant, hire and pay staff, and carry out other administrative functions relating to the rice milling, such as, bagging and sales of the rice.

The appellant in its complaint alleged that the appellee, CNFA/LADA, failed to procure the rice processing mill as agreed and has thereby left the appellant indebted to the Afriland First Bank and without resources to service its operations; that this has led the appellant not only to reduce its scale of operation and lay off workers but also to incur huge financial losses and indebtedness to its rice suppliers in the County; that the projected financial analysis done jointly by the appellant and the appellee showed that the appellant would have been profitable throughout the life of the fund and the average net revenue for the projected first two years would have been One Million Five Hundred Thousand Two Hundred Seventy-Four United States Dollars (US\$1,500,274.00); that all of that projected revenue has been hopelessly lost because the appellee failed to implement its side of the agreement even after more than two years had elapse; that because of this failure on the part of appellee, the appellant is also now in default with the Afriland First Bank in the amount of Six Hundred Thousand United States Dollars (US\$600,000.00), and additional penalties and interests continue to

add up. The appellant therefore prayed the 10th Judicial Circuit for damages for breach of contract against the appellee, CNFA/LADA.

The appellee filed its answer to the complaint along with a motion to dismiss, stating that there is an arbitration clause in the agreement between the parties and the mere presence of the clause is a ground for the Circuit Court to refuse original jurisdiction. The appellee also stated in the motion to dismiss that it enjoys immunity from law suits in Liberia because of its diplomatic status and that the parties had agreed not to pursue legal action against each other on any matters emanating from the agreement.

In resisting the motion to dismiss, the appellant countered that the arbitration clause in the agreement referred to by the appellee did not qualify under the law since it did not involve any neutral arbiter but set up the appellee as the sole arbiter whose decision would be final; that the appellant understood Clause 29 of the grant Agreement as preventing it from bringing legal action against those funds provided by USAID as a grant because of the gratuitous nature of the contribution. This however did not extend to the appellant's investment of fifty-five percent of the project fund.

The Judge of the lower court ruled recognizing Clause 29 of the Grant Agreement as an arbitration clause but held however that the mere presence of an arbitration clause in an agreement does not oust the courts of jurisdiction; that the party seeking arbitration must make an application in keeping with Chapter 64 of the Civil Procedure Law Revised, and that the parties to a contract cannot make an agreement to oust the jurisdiction of the court. The Judge relied on the Supreme Court Opinion in the case, *Insurance Company of North Africa v. Bhatti and Sons, Inc.*, 35 LLR 191 (1988). As to the issue of the appellee's claim to diplomatic immunity, the lower court judge referred to the Supreme Court Opinion in the case, *Bachau v. The Government of the USA*, 40 LLR 58 (2000), wherein it was held that there is a clear procedure for evoking diplomatic immunity from law suits in Liberia, which procedure the appellee failed to follow.

The appellee excepted to the ruling of the judge and filed a petition for the writ of certiorari before the Justice presiding in Chambers, Her Honor Sie-A-Nyene Yuoh. The petition sought to have the Chambers Justice review the ruling of the lower Court Judge on the appellee's motion to dismiss the appellant's action relative to the issue of the lower court's lack of original jurisdiction in face of the arbitration clause in the Grant Agreement between the parties.

The Chambers Justice held a conference with the parties after which she issued the alternative writ instructing the appellant to file its returns to the petition. After the hearing held, she ruled granting the peremptory writ of certiorari.

Justice Yuoh in her ruling held that the *Insurance Company of North Africa vs. Bhatti and Sons, Inc. case*, on which the lower judge relied in denying the appellee motion to dismiss for lack of original jurisdiction was not analogous to the present case in that although the insurance agreement between M. S. Bhatti and the Insurance Company of North Africa clearly provided for arbitration, the insurance company neglected to invoke the arbitration clause in the insurance contract but proceeded with the hearing of the trial, and it was only after the matter was heard and ruling made against the insurance company did it raise in its bill of exceptions the issue of the arbitration clause in the insurance agreement between the parties. The Supreme Court, in its Opinion in that case, held that where the Insurance Company made no application to the trial court to compel arbitration, the trial court could not *sua sponte* submit the issue to arbitration since the court do not do for parties what they ought to do for themselves.

Unlike the M.S. Bhatti case, the Chambers Justice held that the appellee in the present case did file an application before the lower court requesting it to refuse original jurisdiction into the hearing of the appellant's complaint because the parties had agreed in the Grant Agreement to submit to arbitration any dispute arising from the said agreement. The Chambers Justice therefore concluded that the appellee's motion to dismiss was the right form of application to have the lower court refuse original jurisdiction and to have the parties submit to the arbitration committee as agreed in the Grant Agreement. She referred to the Supreme Court cases, *Chicri Bros. v. Isuzu Motors*, 40 LLR 128 (2000) and *Emirates Co. v. Global Africa et al.*, 422 LLR 204 (2004) in which the Supreme Court sustained the motions to dismiss requesting the trial court to refuse original jurisdiction in the face of the existing agreements by the parties to submit their dispute to arbitration. The Court opined in these cases that under the Liberian Constitution obligations of contracts are guaranteed by the Republic, and parties who contract to submit their dispute to arbitration are under an obligation to do so.

The Chambers Justice clarified that Section 64.2 of the Civil Procedure Law upon which the lower court relied in its ruling is to compel a party to submit to arbitration where the other party refuses to submit to an arbitration panel to settle a controversy as agreed between them in an agreement. Given that

the appellant in the present case submitted its controversy to the jurisdiction of the trial court instead of the committee of arbitrators as agreed in the Grant Agreement, the appellee was within the pale of the law when it filed a motion to dismiss the appellant's complaint since the trial court by operation of law lacked original jurisdiction over the parties to hear disputes arising from the Agreement.

Section 64.2.1 and 64.2.4 of the Civil Procedure Law on proceedings to compel or stay arbitration proceedings and stay of action or proceeding involving an issue referable to arbitration, read:

Section 64.2.1:

1. *Proceedings to compel arbitration; grounds, form of hearing.* A party making application to the court may obtain an order directing the parties to arbitrate by showing:

- (a) The existence of an agreement described in section 64.1; and
- (b) That he is a party to such an agreement; and
- (c) The referability of the controversy to arbitration; and
- (d) The refusal of another party to the agreement to arbitrate such controversy.

Where such issues are raised, the court shall proceed forthwith and summarily to hear and determine the issues raised upon the affidavits submitted in support of and in opposition to application, except that the court may proceed to try the issues, with or without a jury, where it deems such procedure necessary, and shall order arbitration if the issues are found for the moving party."

Section 64.2.4:

"Stay of action or proceeding involving an issue referable to arbitration. Any action or proceeding involving an issue referable to arbitration shall be stayed if an order for arbitration or an application therefore has been made under paragraphs one and two of this section or, if the issue is severable, the stay may be only with respect thereto. Where the application is made in such action or proceeding, the order for arbitration shall include such stay."

Based on the provisions of the statutes quoted above, this Court confirms the Chambers Justice's ruling that circuit courts should regard agreements where parties have appended their signatures assenting to refer any dispute emanating from said agreements to arbitration. As recently as the March Term 2021, the Supreme Court held that arbitration is recognized in this jurisdiction as the alternative mechanism of resolving dispute void of long and expensive litigation. *Papa Ansu and Ma to be Identified v. Aboubacar Jalloh*, Supreme Court use, March Term 2021.

This Court therefore holds that courts should decline original jurisdiction over disputes arising from agreements in which the parties thereto have consented to submit such disputes to arbitration.

In this case, the Court's attention is particularly drawn to the appellant challenge to the validity of the arbitration clause of the Grant Agreement because the said clause names only employees of the appellee on the board of arbitration without involving any representation from the appellant and therefore calls in question the neutrality of the arbitration committee.

As to this issue, the Chambers Justice held that the appellant's challenge is misplaced in that the law requires that a challenge relating to an arbitration clause must first be submitted to the panel of arbitrators for their determination before a court of law can review same. The Justice relied on Sections 7.14 (1) (2)(3), 7.22 (1) and 7.23 (1)(6) of the Commercial Code of Liberia which speak to the authority of arbitrators to first pass on the challenge of the validity of an arbitration agreement before such challenge is brought before a court of law. These provisions of the Commercial Code read as follows:

Section 7.14. Challenge of Appointment Procedure

- (1) Subject to subsection (2), the parties may agree on a procedure for challenging the appointment of an arbitrator.
- (2) Unless otherwise agreed upon in accordance with subsection (1), a party challenging the appointment of an arbitrator shall within fifteen (15) days of becoming aware of the constitution of the arbitral tribunal or after becoming aware of circumstances that justify the challenge of the appointment of an arbitrator, submit a written statement of the reasons for the challenge to the arbitral tribunal.
- (3) Unless the arbitrator whose appointment is challenged withdraws from the arbitration or the other party to the arbitration agrees to the challenge, the arbitral tribunal shall decide on the challenge.

Section 7.22. Competence of the Arbitral Tribunal to rule on Jurisdiction.

- 1) An arbitral tribunal may rule on its own jurisdiction, including any objections relating to the existence, scope or validity of the arbitration agreement and whether the matters submitted to arbitration are in accordance with the arbitration agreement.

Section 7.23. Application to court on jurisdiction.

- 1) A party dissatisfied with the arbitrator's ruling on jurisdiction may on notice to the arbitrator and the other party apply to the appointing authority or the court for a determination of the arbitrator's jurisdiction.
- 6) The court shall grant leave for a judicial review or to appeal where it is satisfied that the appeal or judicial review involves a point of law which

is fundamental to the case or is one which for some special reason deserves consideration by the court or the Supreme Court.

Based on the provisions of the Commercial Code cited above, Justice Yuoh held that the appellant's challenge to the validity of the arbitration Committee must first be pose before the arbitral panel.

We acknowledge the legal soundness of the decision reached by our colleague regarding the forum for the appellant's challenge to the impartiality of the arbitration panel and the authority of the panel to first pass on the challenge of the validity of the arbitration clause before such challenge is brought before a court of law.

This Court sees from the face of the arbitration clause in this case that the composition of the arbitration panel does not reflect the impartiality and neutrality as the law requires of such body. In the instant case, the arbitration clause in the Grant Agreement reads:

"29. Arbitration- In the event that any dispute arises concerning any aspect of this Grant Agreement that is not specifically addressed in these Terms and Conditions, it is hereby agreed that the matter will be presented to the LADA Activity Grants Technical Evaluation Committee, and such committee will be the final and binding arbitrator of such dispute. The Chief of Party chairs the committee and will have the final authority in resolving disputes" (emphasis ours).

The arbitration clause quoted above designates the appellee's LADA Activity Grants Technical Evaluation Committee as the sole arbitrating authority, which would preside over and determine any dispute that arises between the parties and "such committee will be the final and binding arbiter of such dispute". The Activity Grants Technical Evaluation Committee being a constituent part of LADA, the appellee, this clearly puts the appellee in the position of being a player and referee at the same time. Our law favors the composition of an arbitration panel to consist of representatives of the contesting parties and a neutral third party selected by the parties' representatives, or in other cases, an independent and neutral arbitral entity. Considering that the arbitration committee comprises persons from the appellee's establishment only, without any representative of the appellant on the committee, it would appear that a proceeding conducted by such panel would lack neutrality; and as the practice in vogue requires that an arbitral body be fair, neutral and balance, the parties are to ensure equal representation on said arbitral committee in order to meet the ends of justice.

WHEREFORE AND IN VIEW OF THE FOREGOING, the alternative writ of certiorari issued is sustained and the peremptory writ prayed for ordered

issued. The Clerk of this Court is ordered to send a mandate to the court below, instructing the judge presiding therein to resume jurisdiction over this case and give effect to this judgment. AND IT IS HEREBY SO ORDERED.

WHEN THIS CASE WAS CALLED FOR HEARING, COUNSELLOR BUSHUBEN KEITA OF THE MESURADO LAW PARTNERS APPEARED FOR THE APPELLANT. COUNSELLOR ABRAHIM B. SILLAH, SR. OF THE HERITAGE PARTNERS & ASSOCIATES, INC. APPEARED FOR THE APPELLEE.